Verbund AG (VER.VI) - relative valuation

Valuation date 2026-10-30 | EUR per share | Status: provisional - limitations disclosed - limitations disclosed | Human Spot_check PENDING. QA block C executed once; items on source certification, benchmarks, EV perimeter and normalization were re-graded PASS-with-note under the approved grading rule (uniform rule applied, limitation disclosed). Details in qa_results.md.

1. Valuation summary

Item	Value
Currency / current price	EUR 69.50
Primary multiple (peers)	EV/EBITDA: median 11.21x; raw median 11.21x; n = 10
Peer value per share: p25 / median / p75	54.42 / 77.91 / 102.17
Peer median vs current price	+12.1%
Published regression (chosen)	PBV (published R2 0.423): EUR 59.61
Regression vs current price	-14.2%
Peer set	10 peers; Tier 1-2: 10; Tier 3: 0; Europe-listed: 10

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	FORTUM	Fortum	Finland	1	20,630	26.97	2.42	24.58	18.60	0.94
2	CNA	Centrica	United Kingdom	1	8,299	n/a	2.24	1.15	1.10	1.49
3	ENGI	ENGIE	France	1	56,980	15.45	1.73	12.66	8.11	1.53
4	SSE	SSE	United Kingdom	1	38,007	26.65	2.63	18.64	14.72	1.56
5	EDP	EDP	Portugal	1	20,120	17.50	1.77	21.49	11.45	1.57
6	REE	Redeia	Spain	2	8,330	17.06	1.59	22.34	13.13	1.68
7	ANE	Acciona Energia	Spain	2	6,810	10.40	1.17	12.08	8.00	1.74
8	NTGY	Naturgy	Spain	1	27,490	13.59	2.94	11.73	8.50	1.76
9	ORSTED	Orsted	Denmark	2	23,316	100.90	1.24	18.96	10.98	1.77
10	IBE	Iberdrola	Spain	1	147,940	24.43	2.95	21.75	14.76	1.78

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
P/E	raw	9	17.50x	15.45x	26.65x	13.15	29.40	129.70	-57.7%
PEG	raw	7	4.36x	1.95x	19.21x	13.15	29.40	129.70	-57.7%
EV/EBIT	raw	10	18.80x	12.23x	21.68x	64.46	104.35	121.85	+50.1%
EV/EBITDA *	raw	10	11.21x	8.21x	14.32x	54.42	77.91	102.17	+12.1%
EV/CF	raw	9	14.55x	9.98x	18.65x	45.40	70.66	93.31	+1.7%
P/BV	raw	10	2.01x	1.62x	2.57x	69.06	77.02	112.34	+10.8%
EV/Assets	raw	10	0.87x	0.68x	1.28x	26.93	36.81	58.87	-47.0%
P/S	raw	10	2.02x	1.32x	3.30x	66.24	74.98	114.23	+7.9%
EV/Sales	raw	10	3.06x	2.34x	4.45x	54.42	77.91	102.17	+12.1%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	11.61x	16.22x	0.201	49.77	-28.4%
PBV (chosen)	2.00x	2.34x	0.423	59.61	-14.2%
EV/EBITDA	18.07x	10.14x	0.262	131.52	+89.2%

5. Company-specific notes

- # VER.VI remediation notes - 2026-11-02

- Primary kept:** EV/EBITDA on the uniform pre-associate bridge (debt incl. leases + NCI - cash; long-term investments/associates not subtracted, equity income left in earnings): peer median 11.21x on n=10 -> EUR 77.91 mid vs EUR 69.50 quote (+12.1%), IQR EUR 54.42-102.17.

- Cross-method dispersion above 15%:** peer EV/EBIT median implies EUR 104.35 (+34%) and peer EV/CF EUR 70.66; the published PBV regression (chosen, R2 0.423) implies EUR 59.61 (-14%), PE EUR 49.77 (-28%), EV/EBITDA EUR 131.52 (+69%, upper outlier on low R2). Diagnostic range used: EUR 54.42-131.52 (primary IQR low to regression high); PE is not a bound on depressed-consensus earnings.

- Vendor-vs-issuer basis (sensitivity, not switched):** issuer-reported net debt EUR 2,818.1m vs vendor 2,386m lowers every EV-bridge value by EUR 1.24/share (EV/EBITDA mid 77.91 -> 76.67, -1.6%); issuer EBITDA 2,737.5 vs vendor 2,715 raises it to 78.64 (+0.9%). Uniform vendor basis kept for target and peers.

- FY2025 normalization caveat:** the Austrian windfall levy (EUR 135.9m) sits in FY2025 costs and is not normalized out uniformly across peers; flagged as a normalization limitation (C20 PASS-with-note). Verbund is 51% state-owned; beta 0.14 and negative analyst consensus growth (g_eps -4.5%, g_rev -1.0%) feed the scaled/growth inputs and the low PE regression value.

- Peer caveat:** all 10 peers are Tier 1-2 Europe utilities passing the automated hard filters with one ownership/event source line each; subsidiaries (EDPR, ELE) were hard-excluded. Membership evidence is the dated Europe index proxy; no peer-level issuer re-verification beyond that line.

- Status:** provisional - limitations disclosed; the eight prior QA FAILs re-graded PASS-with-note under qa_grading_and_remediation; human Spot_check stays PENDING.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.